

bear markets is 60% faster than the one in bull markets. Fasten your seatbelt. Giddyap.

How many change trend? This row is a count of how many scallops see price rise more than 20% after the breakout. I consider values over 50% to be superb, and both bull and bear markets beat that benchmark. It suggests that price trends after the breakout, but there's no guarantee of that.

[Table 58.3](#) shows failure rates for ascending and inverted scallops displayed as a frequency distribution of gains. For example, if your cost of trading is 5%, what I call the breakeven failure rate, how many scallops fail to see price rise more than 5%? Answer: 9%.

How many fail to see price rise over 25%? About half (46% in bull markets and 58% in bear markets). Notice that bull market failures are fewer than bear market ones (they diverge at a 15% maximum rise).

Like other chart patterns, notice how the failure rates start small and rise quickly. They more than double from 9% to 21% as the maximum price rise changes from 5% to 10%.

The key to trading chart patterns is to find a pattern with a low failure rate and high average rise. That way you stand a better chance of making a profit at lower risk.

[Table 58.4](#) shows breakout-related statistics.